

How AI is changing Etsy in 2026

Channel: Takumi Hagino · Published: Jul 08, 2026 · Watch: <https://www.youtube.com/watch?v=meSzrulvPM8> Source: full transcript

Executive Summary

Takumi Hagino, who runs 30+ Etsy stores, breaks down exactly how AI has slashed listing creation from 2 hours to 20 minutes, names every tool he uses, and argues that embracing AI is now the defining competitive divide on Etsy.

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The Growing Divide Between AI and Manual Sellers 0:00

- Two distinct types of Etsy sellers exist right now:
 - **AI-leveraging sellers** — building stores faster, creating better listings, scaling with less effort
 - Manual sellers — doing everything by hand, wondering why they're falling behind
- The gap between these two groups is widening every single day
- What manual sellers are still doing:
 - Spending hours writing listings by hand
 - Using basic product photos with no editing
 - Responding to every customer message individually
 - Doing product research by scrolling Etsy for hours

- The Etsy landscape is evolving fast; what worked 6 months ago is already outdated

The Speed and Quality Transformation 1:46

- A year ago, creating a single Etsy listing took **~2 hours** (finding product, writing title, description, optimizing tags, creating images, ensuring professionalism)
- Now the same process takes **~20 minutes** — at equal or higher quality
- The compounding effect of this speed gain:
 - Create listings 5× faster
 - Test 5× more products
 - Build and scale stores 5× faster
- Quality improvement is not just speed — listings went from average (average photos, average descriptions, nothing standing out) to professional, differentiated, and higher-converting

"That is not a small movement. That is a competitive game-changer."

Tool 1: Product Research — Reverse Image Search & Everbee 2:39

- **Reverse Image Chrome Extension**
 - Finds products, traces suppliers, and shows who is selling across different platforms instantly
 - Eliminates hours of guessing and manual scrolling
- **Everbee** (AI-powered Etsy research tool)
 - Shows sales data, revenue estimates, and competition levels for any product or niche
 - Reduces winning product discovery from days to minutes

Tool 2: Listing Copywriting — Claude AI 3:03

- Tool: **Claude AI**
- Process:
 - Feed Claude information about the product, target keywords, and desired outcome
 - Claude generates SEO-optimized titles and descriptions ready to use
- Time savings: what used to take an hour of writing and rewriting now takes a few minutes
- Quality advantage: AI doesn't get tired or run out of ideas, so output quality is consistent
- Noted as the area where AI has made the biggest overall difference

Tool 3: Image Creation — PhotoRoom & Nano Banana 3:26

- Tools: **PhotoRoom** and **Nano Banana**
- Three core capabilities:

- **Background removal** — take any product photo and instantly remove background cleanly and professionally
- **Background/scene generation** — AI creates professional backgrounds, lifestyle shots, and flatlays suited to the niche; no photographer needed
- **AI models for fashion products** — generate realistic models wearing products
 - Previously required hiring models, booking photo shoots, spending thousands of dollars
 - Now done in minutes for almost nothing
- End result: listings look like they were produced by a professional photo shoot team

Tool 4: Video Creation — Kling AI [4:13](#)

- Tool: **Kling AI**
- Video is increasingly important on Etsy — listings with videos get more engagement and convert better
- Most sellers don't use video because it's too much effort without AI
- Kling AI enables quick creation of product videos with motions, transitions, and professional quality
- Competitive advantage: stands out while most sellers still use static, boring images

Tool 5: Design & Refinements — Canva [4:35](#)

- Tool: **Canva** (with built-in AI features)
- Use cases: adding logos, making refinements, polishing final assets
- Canva AI features make design accessible to sellers with zero design skills
- Produces professional-looking design assets without hiring a designer

Tool 6: SEO Optimization — Sales Samurai [4:58](#)

- Tool: **Sales Samurai**
- Analyzes search volumes and competition levels on Etsy
- Tells exactly which keywords to target in titles and tags
- Takes the guesswork out of ranking — know precisely which words get listings in front of buyers

Tool 7: Image Upscaling — Pixel Cut [5:22](#)

- Tool: **Pixel Cut**
- Solves the problem of low-resolution or soft product images
- AI upscaling makes images crisp and professional
- Rationale: small image quality details matter and drive more conversions

Client Case Study: Amy's First Month [5:43](#)

- Client: **Amy**, joined the program last month with zero prior e-commerce experience

- Result: made **\$8,000 AUD (~\$5,000 USD)** in her first month
- How she achieved it:
 - Used the AI tools described above
 - Followed Takumi's system
 - Did not spend hours per listing, did not struggle with product photos, did not guess on SEO
- Acknowledged she could have figured it out alone eventually, but likely would have taken much longer or given up before getting there
- Additional leverage point: because AI streamlines and systemizes processes, tasks can be handed off to **virtual assistants (VAs)** cheaply without weeks of training, making scaling even faster

Why Tools Alone Aren't Enough — Prompts & Workflows 6:53

- Having access to every tool listed above is not sufficient on its own
- What actually makes the difference:
 - The specific **prompts** used in Claude
 - The **workflows** built for image creation
 - The specific **settings and techniques** that make tools work effectively
 - Custom **knowledge bases** feeding the AI
- Without proper prompts and workflows, results will be mediocre even with the best tools
- These can be learned through trial and error (a valid path) or learned directly through mentorship
- AI and Etsy are both constantly changing — new tools come out every month, Etsy updates its algorithm, and tactics from 3 months ago may already be obsolete
- Takumi's stated differentiator: actively running 30+ Etsy stores right now (not someone who made money 5 years ago and now only sells courses)

Where Etsy and AI Are Heading 8:26

- AI capabilities will continue improving every month — new tools, new capabilities, better and faster content creation
- Sellers who embrace AI will:
 - Create more listings
 - Test more products
 - Scale faster with better results
- Sellers who ignore AI will:
 - Struggle to compete against AI-powered stores while doing everything manually
- Etsy's algorithm itself rewards quality listings, professional images, and fast response times — all things AI directly improves
- The gap between AI sellers and manual sellers will only widen over time



Summary & Program Offer [9:12](#)

- **Full tool stack recap:**

Purpose	Tool
Product research	Reverse Image Chrome Extension + Everbee
Listing copywriting	Claude AI
Images & AI models	PhotoRoom + Nano Banana
Video creation	Kling AI
Design & polish	Canva
SEO keyword research	Sales Samurai
Image upscaling	Pixel Cut

- Additional proprietary tools and software exist inside his paid program that are not disclosed publicly — kept as a competitive edge for clients
- **Program promise:** help clients leverage AI to hit **\$5,000/month within 90 days**
- Offer: free call with Takumi or his team (link in description), no pressure
- Community access included: hundreds of members all running the same Etsy business model, sharing what's working in real time
- For those going solo: all publicly shared tools and information are sufficient to get started and ahead of most sellers